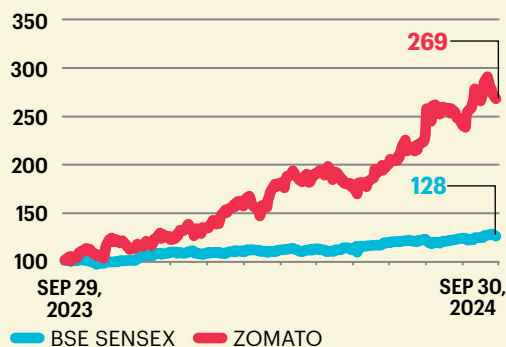


SENSEX V/S ZOMATO

➤ Zomato's stock price soared to a high of ₹290.50 per share during the study period, a turnaround that secured its entry into the Top 50 of the BT500 list



NOTE DATA HAS BEEN INDEXED TO 100
SOURCE ACE EQUITY

REPORT CARD

➤ Zomato's confidence in its future valuation is underpinned by the potential of its quick commerce and going-out businesses

Company Name	Zomato
2024/2023 Rank	49/87
Average market cap* (YoY change)	155,434 (166%)
Total income (YoY change)	12,995 (67)
PAT (YoY change)	351 (N/A)
TTM P/E Multiple	326

NOTE DATA AS OF NOVEMBER 25, 2024; *FROM OCTOBER 1, 2023, TO SEPTEMBER 30, 2024; TOTAL INCOME, PAT AND ROE FOR FY24; P/E: PRICE TO EARNINGS; TTM IS TRAILING 12 MONTHS; FIGURES IN BRACKET INDICATE CHANGE IN %; TOTAL INCOME, PAT, AND MARKET CAP IN ₹ CRORE **SOURCE** ACE EQUITY

ing to a 2024 JM Financial report, Blinkit is the current leader in quick commerce, although Zepto is identified as a “dark horse”.

Chouhan of Kotak Securities notes that the gross order value (GOV) of Zomato's food delivery business grew 21.4% in Q2FY25, with contribution margins improving to 7.6%, up from 7.3% in Q1FY25—a result of more efficient cost management. Blinkit saw even stronger growth, with a 122% YoY increase in GOV and a 24.6% quarterly increase, indicating robust demand. Its contribution margin remained solid, with minimal losses in the segment. With over 500 dark stores, nearly double from a year ago, Blinkit's quick commerce GOV was recorded at approximately ₹25,000 crore (\$3 billion), close to achieving Ebitda positivity.

“We maintain a ‘buy’ rating on Zomato, as its food delivery business continues to perform strongly, gaining market share and generating more cash. Blinkit stands as the leading player in the quick commerce space,” says Chouhan. He

adds that Zomato's recent ventures in the ‘going out’ business (District) and B2B vertical Hyperpure are still developing, but represent substantial growth opportunities.

While Zomato's expansion into multiple service areas has been critical to its growth, the company remains acutely aware of its capital needs. Goyal, in a recent letter to shareholders, highlighted Zomato's consolidated annualised revenue growth of four times since its IPO—from ₹4,640 crore in July 2021 to ₹20,508 crore in Q2FY25 (annualised). However, the cash balance has decreased from ₹14,400 crore to around ₹10,800 crore, primarily due to funding losses in the quick commerce segment and some equity investments.

“While the business is now generating cash (vis-à-vis a loss-making business at the time of IPO), we believe that we need to enhance our cash balance, given the competitive landscape and the much larger scale of our business today,” Goyal shared. “We believe that capital by

itself does not give anyone the right to win (and that service quality is the key determinant of success), but we want to ensure that we are on a level playing field with our competitors, who continue to raise additional capital.”

Zomato's confidence in its future valuation is underpinned by the potential of its quick commerce and going-out businesses, which Agrawal estimates could account for \$13-15 billion of its current \$30 billion valuation. With revenue targets estimated by experts between ₹330-340 per share over the next five years, the company is setting its sights on a sustainable future beyond food delivery. As Zomato continues on its ambitious path, it is redefining what a consumer tech company can achieve. Its evolution—from an online food repository to an ecosystem—shows the tech company's resilience.

For those who doubted Zomato, the game isn't over until the final whistle! **BT**

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